

Multiple Choice (10 marks)

1. An ARMA(p,q) (p, q are integers bigger than zero) model will have
 - (a) An acf that declines geometrically and a pacf that is zero after p lags
 - (b) An acf that declines geometrically and a pacf that is zero after p+q lags
 - (c) An acf and pacf that are both zero after q lags
 - (d) An acf and pacf that are both zero after p lags
 - (e) An acf that is zero after q lags and a pacf that is zero after p lags
2. Why is the Wagner Act (officially the National Labor Relations Act), considered to be "labor's Magna Charta"?
 - (a) It introduced mandatory profit sharing between employers and employees
 - (b) It obligated employers to bargain in good faith with a union
 - (c) It outlawed company unions
 - (d) It created a universal pension system for all workers regardless of employer contributions
 - (e) It allowed for automatic union membership for all employees in a workplace
3. Which one of the following statements best describes the algebraic representation of the fitted regression line?
 - (a) $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t^2 + \hat{u}_t$
 - (b) $\hat{y}_t = \hat{\alpha} + \hat{\beta}x_t + u_t$
 - (c) $\hat{y}_t = \hat{\alpha}x_t + \hat{\beta}x_t$
 - (d) $y_t = \hat{\alpha} + \hat{\beta}x_t + \hat{u}_t$
 - (e) $\hat{y}_t = \hat{\alpha} + \hat{\beta}$
4. Required reserves
 - (a) can be used by banks to make loans or buy investments.
 - (b) must be held at the FED exclusively.
 - (c) must be kept in a bank's vault.
 - (d) are optional for large banks but compulsory for smaller ones.
 - (e) can be invested in government securities.
5. The market for Cincinnati Reds baseball tickets is currently in equilibrium. Which of the following events would most likely increase the consumer surplus received by Reds fans?

- (a) The Reds decrease ticket prices due to lower stadium maintenance costs.
- (b) The Reds launch a new marketing campaign that increases ticket demand.
- (c) The Reds decide to limit the number of games in a season.
- (d) The Reds offer discounted parking for all home games.
- (e) The Reds increase ticket prices due to a rise in player salaries.

True / False (10 marks)

Answer True or False

- 6. True or False: An increase in the international demand for Mexican-made textiles will shift the demand curve for the Mexican peso to the left.
- 7. True or False: In the long run, supply is always able to adjust fully to changes in demand without any constraints.
- 8. True or False: The optimal one-step ahead forecast of a series following a random walk is the average value of the series over the in-sample period.
- 9. True or False: Increased exports lead to a decrease in the value of the dollar due to a higher supply of dollars in the market.
- 10. True or False: An increase in the reserve ratio reduces the money available for loans, thereby increasing the size of the tax multiplier.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of deadweight loss in the context of monopoly markets, and analyze how it differs from the outcomes in monopolistic competition.
- 12. Discuss the implications of transforming a monopsony labor market into a perfectly competitive labor market on wage levels and employment rates, providing a detailed analysis of the underlying economic mechanisms.

End of Paper